

**Before the  
FEDERAL MARITIME COMMISSION**

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**Docket No. 2010(I)<sup>1</sup>**

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**Simple Forwarding, Inc.**

**v.**

**CULines [sic]and Norton Lilly International**

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**VERIFIED ANSWER OF CULINES TO COMPLAINT OF SIMPLE FORWARDING**

Pursuant to the July 18, 2024 Order of the Small Claims Officer (“SCO”), Specially Appearing Respondent<sup>2</sup> CULines (as designated, improperly, by Claimant) hereby responds to the Complaint (“Complaint”) of Simple Forwarding, Inc. (“Simple Forwarding” or the “Claimant”). The prior filings of Specially Appearing Respondent are attached hereto and incorporated by reference herein.

It remains unclear what entity is the Respondent in this proceeding. The Complaint refers to “CULines.” But insofar as we know, there is no entity incorporated as “CULines.” Instead as explained in the Reply to Claimant’s opposition to the motion to dismiss filed by C.U.LINES LIMITED (“CUL”), CULines is just a shorthand reference to a group of companies, not a specific

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<sup>1</sup> To be redesignated at Docket No. 2010(F) and re-assigned to an Administrative Law Judge as per the Commission’s Rules, 46 C.F.R. 502.304(f).

<sup>2</sup> CULines does not, by filing this response enter a general appearance or concede that the FMC has jurisdiction over this matter. Any requirement that CULines concede jurisdiction in order to challenge jurisdiction would not only be self-contradictory, but obviously also violate the Constitution.

corporation. In this respect, it is as if someone tried to file a complaint against a specific member of the many Volkswagen companies, such as ocean common carrier Volkswagen Konzernlogistik GMBH & Co. OHG, by naming Volkswagen as the defendant or respondent.

According to Claimant, as stated in its July 11, 2024 filing, the entity it intended to file its Complaint against is the entity in Shanghai to which the FMC mailed the Complaint – i.e., China United Lines Limited (“CULL”). But as previously explained and expanded again below, under oath, CULL is not and never has been an ocean common carrier within the meaning of the Shipping Act and FMC regulations. *See* 46 U.S.C. § 40102(7); 46 C.F.R. 520.2.

The only entity within the CULines group that has been (but no longer is) an ocean common carrier is CUL, a Hong Kong company separately incorporated from CULL. The Order of the SCO appears to treat CUL as the Respondent (or a Respondent), even though, as explained immediately above, Claimant disclaims intending to claim against CUL. Because we have no idea who the actual Respondent is, in the remainder of this Answer we refer to specific corporate entities by their proper names and otherwise use the same vague and erroneous designation as Claimant, referring to the putative Respondent, whatever entity it might be, as “CULines.” We believe that Due Process requires more than this, but we will reserve any further argument on that matter to the federal courts of appeals.

**As another preliminary matter, CULines has already stated that it does not consent to this matter being resolved by the informal small claims process of 46 C.F.R. § 502.304(e) (which we believe means that an ALJ, not the SCO, should have ruled on dismissal). We repeat that position here and request that the matter be transferred forthwith to the Office of Administrative Law Judges.**

## **INTRODUCTION**

Simple Forwarding is a total stranger to CULines. It is not in any respect a customer of CULines. CULines has never provided any transportation services to Simple Forwarding or invoiced Simple Forwarding for any charges, including detention or demurrage. And Simple Forwarding has never proffered any cargo to CULines or paid CULines for any charges. The Complaint does not aver otherwise.

The shipment referred to in the Complaint was not a Simple Forwarding shipment. The shipper for that cargo was World Trade Shipping Limited. The invoice at issue was not paid to CULines by Simple Forwarding, but rather by New Opportunities Trucking, Inc.

As elaborated below, the Complaint at issue was never served at all on CUL, which first learned about the complaint by word from the other Respondent, Norton Lilly International. A copy of the Complaint was apparently mailed to CULL, which we show below was not proper service.

## **ARGUMENT**

### **I. Neither CUL nor CULL was Properly Served**

The SCO did not address service on CULL but appears to have found that CUL was properly served because it somehow received notice of the Complaint. Under the precedents at the FMC and in the federal courts, that is simply wrong. Failure to effectuate proper service on a purported respondent violates the right to due process and precludes the Commission from making a determination of this matter.

As Chief Administrative Law Judge Wirth has explained: “Ensuring proper service is essential to due process.” *Mohawk Global Logistics Corp. v. MSC*, Docket No. 1971(F), 2021 WL 5326283 at \*1 (Procedural Order, November 9, 2021). She there held that a corporate affiliate of a named respondent could not be made an additional respondent without the filing and proper service of an amended complaint specifically naming the affiliate, even though the additional respondent to be named had clear notice of the proceeding via service on the parent company.

As the courts have likewise stated:

“The manner of service in this case did not satisfy due process. ‘[A]bsent effective service of process, a court is without jurisdiction to render a personal judgment against a defendant.’” *Malibu Media, LLC v. Bondoc* 2018 WL 6683937 at \*2 (Magistr. E.D. Va. 2018)(quoting in part from *Joe Hand Promotions, Inc. v. Citibars, Inc.* 2012 U.S. Dist. Lexis 18500 at \*4 (E.D. Va. 2012) (quoting from *FDIC v. Schaffer*, 731 F.2d 1134, 1135 (4<sup>th</sup> Cir. 1984).

To like effect, see, e.g., *Omni Capital International, Ltd. v. Rudolf Wolff & Co., Ltd*, 484 U.S. 97, 104 (1987) (“Before a federal court may exercise personal jurisdiction over a defendant, the procedural requirement of service of summons must be satisfied”); *O.J. Distributing, Inc. v. Hornell Brewing Co.*, 340 F.3d 345, 353 (6<sup>th</sup> Cir. 2003) (“Due process requires proper service for a court to have jurisdiction to adjudicate the rights of parties”); *Maryland State Fireman’s Association v. Chaves*, 166 F.R.D. 353, 354 (D. Md. 1996) (“It is axiomatic that service of process must be effective under the Federal Rules of Civil Procedure before a . . . judgment may be entered against a defendant”).

In *O.J. Distributing*, where the existence of actual notice was clear, based on discussions between the parties’ counsel, the court concluded that the plaintiff had failed to show service upon defendant or an authorized agent of defendant, because it was not sufficient that the package containing the complaint had been signed for by defendant’s receptionist.

Furthermore, each of the potential putative Respondents is located in the People’s Republic of China – one in Shanghai, the other in Hong Kong. Neither of them maintains an agent for service of process in the United States,<sup>3</sup> and as discussed below, neither is an ocean common carrier serving the U.S.-foreign trade. Accordingly, to meet the requirements of due process, a summons must be served in accordance with Federal Rules of Civil Procedure, Rule 4(f),<sup>4</sup> which provides (emphasis added):

*“Serving an Individual in a Foreign Country.* Unless federal law provides otherwise, an individual . . . may be served at a place not within any judicial district of the United States:

(1) by any internationally agreed means of service that is reasonably calculated to give notice, such as those authorized by the Hague Convention on the Service Abroad of Judicial and Extrajudicial Documents;

(2) if there is no internationally agreed means, or if an international agreement allows but does not specify other means, by a method that is reasonably calculated to give notice:

(A) as prescribed by the foreign country's law for service in that country in an action in its courts of general jurisdiction;

(B) as the foreign authority directs in response to a letter rogatory or letter of request; or

(C) ***unless prohibited by the foreign country's law***, by:

(i) delivering a copy of the summons and of the complaint to the individual personally; or

(ii) using any form of mail that the clerk addresses and sends to the individual and that requires a signed receipt; or

(3) by other means not prohibited by international agreement, as the court orders.”

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<sup>3</sup> Although NVOCCs are required to maintain a U.S. agent, see 46 C.F.R. 515.24, no such requirement applies to VOCCs.

<sup>4</sup> See, e.g., *Dyer v. Can-Truck, Inc.*, 2011 WL 2532871 (N.D. Ohio, 2011); *Atricure, Inc. v. Meng*, 2022 WL 13917934 at \*2 (S.D. Ohio 2022)(“the Advisory Committee Notes to [Rule 4](#) recognize the mandatory nature of using the methods of service contained in the Hague Convention when it applies”).

The requirements of F.R.C.P. 4(F) have not been satisfied here.

- Section 1. The Complaint was not served in accordance with the Hague Convention or other international Agreement.
- Section 2. There was neither service in accordance with Chinese law nor letters rogatory under subsections A or B. As to subsection C, the law of China prohibits service by mail<sup>5</sup> (*see*, China – Central Authority & practical information, Hague Conference on Private International Law, available at <https://www.hcch.net/en/states/authorities/details3/?aid=243>) in any event, the Complaint was neither delivered to CULines personally nor sent with the requirement of a signed receipt.
- Section 3. Claimant has not requested and Presiding Officer has not ordered an alternative means of service and the criteria for alternate service are not met, and in any event international law prohibits alternative means that do not comply with the law of China.

## **II. The FMC does not have Personal Jurisdiction over CUL or CULL**

The FMC’s regulatory jurisdiction extends only to certain types of entities (often referred to as “regulated entities”). Those are “Ocean Common Carriers,” also known as vessel-operating common carriers “Marine Terminal Operators,” “Non-Vessel Operating Common Carriers,” and “Ocean Freight Forwarders.” Of these, the Complaint alleges only that CULines is an “ocean common carrier.” [Complaint ¶¶ II(A), III(C)]<sup>6</sup> But as previously demonstrated under oath and

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<sup>5</sup> See *NOCO Company v. CF Group SZKMS Co., Ltd*, 571 F.Supp.3d 862, 867 (N.D. Ohio 2021) (“for service in China, the Hague Convention primarily authorizes service through China's central authority—the Ministry of Justice—that arranges for service according to domestic law”).

<sup>6</sup> The Complaint does not (and could not) allege that CUL is any other type of regulated entity.

reiterated below, neither CUL nor CULL is currently an ocean common carrier as that term is defined in the Shipping Act and FMC Regulations (and CULL never was one). Neither CUL nor CULL is shown as a current ocean common carrier in the list of VOCCs on the FMC website, which should be dispositive. Nor does either of them have a current organization number. Accordingly, the FMC lacks personal jurisdiction over CULines.

Both the Shipping Act and the FMC regulations define an ocean common carrier as a “common carrier” that operates the vessels by which transportation is provided. In particular, as stated by the Shipping Act, a “common carrier” is:

“[A] person that (1) holds itself out to the general public to provide transportation by way of passengers or cargo between the United States and a foreign country for compensation, (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(7); see 46 C.F.R. 520.2.

Thus, in order to be a common carrier, an entity must meet *all* of the following requirements:

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;
- It must assume responsibility for the transportation of cargo from origin to destination; and
- It must use a vessel operating on the high seas to provide such transportation.

And in order to be a Vessel-Operating Common Carrier, the entity must actually operate the vessels used to provide service in the U.S. foreign trades.

CUL does not currently provide *any* transportation services in the U.S.-foreign trades. As confirmed by the attached verification:

- CUL does not currently hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation.
- CUL used to provide transportation service in the U.S., but no longer does.
- CUL does not currently assume responsibility for the transportation of cargo to or from any U.S. ports.
- CUL does not currently operate any vessels by which U.S.-foreign transportation is provided.

That CUL is not currently an ocean common carrier is confirmed by the history of its former tariff, set out in the margin.<sup>7</sup> As there shown, CUL published a tariff and entered the U.S.-foreign trades on June 28, 2021 and withdrew from the trade, by canceling its tariff, on **August 1, 2023**. It has thus been almost a year since CUL was an ocean common carrier subject to the personal jurisdiction of the FMC.

As to CULL, the attached verification demonstrates again (as previously demonstrated in CULines' Verified Reply In Support Of Motion To Dismiss The Complaint) that CULL is not

<sup>7</sup> As demonstrated by the screenprint below, CUL entered the U.S.-foreign trades, by publishing tariff, on June 28, 2021 and withdrew from the trade, by canceling its tariff, on August 1, 2023.

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| History |   |                                        |           |           |            |
|---------|---|----------------------------------------|-----------|-----------|------------|
| Org No  | H | Name, DBA                              | Filed     | Effective | Expiration |
| 029412  | 0 | C.U. Lines Limited, TPX                | 6/28/2021 | 7/8/2021  |            |
| 029412  | 1 | C.U. Lines Limited, TPX; TPC           | 8/18/2021 | 8/18/2021 |            |
| 029412  | 2 | C.U. Lines Limited, TPX; TPC; TP3      | 8/23/2021 | 8/23/2021 |            |
| 029412  | 3 | C.U. Lines Limited, TPX; TPC; TP3      | 4/4/2022  | 4/4/2022  |            |
| 029412  | 4 | C.U. Lines Limited, TPX; TPC; TP3      | 4/6/2022  | 4/6/2022  |            |
| 029412  | 5 | C.U. Lines Limited, TPX; TPC; TP3      | 4/6/2022  | 4/6/2022  |            |
| 029412  | 6 | C.U. Lines Limited, TPX; TPC; TP3; TPN | 4/22/2022 | 4/22/2022 |            |
| 029412  | 7 | C.U. Lines Limited, TPX; TPC; TP3; TPN | 7/31/2023 | 7/31/2023 | 8/1/2023   |

currently, nor has it ever been, an ocean common carrier. It does not currently meet, and has never met, the criteria detailed above that are required to meet the statutory definition.

Claimant in its Response to Respondent's Motion to Dismiss attempted somewhat to rebut the showing that neither CUL nor CULL is currently an ocean common carrier. But it failed to make any showing to the contrary. We address the statutory criteria below.

Starting with the easiest, ***and uncontested***, fact, CUL does not currently operate, and CULL does not operate (and has not operated) any vessels between the United States and a foreign country. This, without more, establishes beyond dispute that CUL is not, and that CULL is not and never has been, an ocean common carrier.

Likewise, neither CUL currently, nor CULL ever, takes responsibility for the transportation of cargo to/from a U.S. location. Claimant in its Response alleged that CULL took responsibility for transportation pursuant to what it called a Master Bill of Lading and attached as Exhibit A to its Response. That claim is both false and meaningless.

As explained in CULines' Verified Reply In Support Of Motion To Dismiss Claimant's assertion that its Exhibit A is a "Master Bill of Lading" for the transportation is patently untrue. It is obvious on its face that this bill of lading is a House Bill of Lading, reflecting only the relationship between Complainant and its common carrier – the named NVOCC. This, by itself, shows that there was no relationship or privity between Complainant and CUL or CULL. This fact is confirmed by the actual Master Bill of Lading, attached to CULines' Reply (Respondent's Exhibit A). This real Master Bill of Lading shows that CUL (not CULL) was the ocean common carrier, consistent with the fact that CUL was ***formerly*** a VOCC. It also demonstrates that Claimant was not shown on bill of lading as either the shipper or the consignee, and indeed Claimant was

not named at all. Rather, the parties to the bill of lading and in a transportation relationship with CUL were entities identified respectively as “World Trade Shipping” Limited” [the shipper] and “Aimpacific Services. Inc” [the consignee].<sup>8</sup>

The only criterion that Claimant attempts to address is the requirement of a holding out. But even if Claimant were correct (which it is not) that its screenshots show a holding out to serve the United States by a group referred to by the trade name CULines, Claimant would still fail to prove that either CUL or CULL is an ocean common carrier. It has not even suggested that the other, equally necessary, criteria of the definition were met by either CUL or CULL, and they clearly were not.

But Claimant is wrong in any event. Merely expressing a willingness to serve the United States at some undefined time in some undefined manner and in response to some unidentified request is not sufficient to be deemed a holding out. For one thing, it is not stated whether CULines would serve the United States via common carriage or contract carriage. An entity that provides only contract carriage is not an ocean common carrier. Further, Complainant does not identify any real proof of a holding out to serve United States in common carriage, such as a tariff or evidence of CULines providing any transportation in the U.S.-foreign trades after August 1, 2023, when CUL canceled its tariff.

Accordingly, the FMC lacks personal jurisdiction over CUL and CULL.

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<sup>8</sup> Accordingly, Claimant’s allegation at Paragraph 3A of its Complaint is totally untrue and must be stricken.

### III. Claimant Fails to Prove a Violation

It is of course Claimant's burden of proof to demonstrate that CULines committed a violation of the Shipping Act. In any proceeding under Shipping Act, the burden of proof is on the proponent. *Interpretative Rule On Demurrage and Detention Under the Shipping Act*, 2019 WL 5781054, at \*3 (citing 5 U.S.C. §556(d); 46 C.F.R. §502.155) ("In all cases, as prescribed by the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof shall be on the proponent of the rule or order."); see also, e.g., *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 597 (ALJ 2014). It has made no effort to do so.

The Commission has adopted a framework for deciding when an assessment of detention or demurrage charges violates 46 U.S.C. 41102(c). Under that framework, the FMC looks at individual shipments and individual days to determine whether, for a particular shipment, the ocean common carrier has charged detention or demurrage for a specific date on which the party assessed the charge could not pick up a full container or return an empty container. For example, if a consignee returns an empty container 10 days late (after free time has expired), the Commission will look at each day for which detention was charged and determine whether a charge for that day was improper because the consignee could not return the container for reasons outside its control (such as weekend or holiday facility closures, lack of appointments, etc.). That, in a nutshell, is exactly what the Commission did in *TCW, INC. v. Evergreen Line Joint Service Agreement*, Docket 1966(I), 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), where it ordered the ocean carrier to refund charges only for the specific days on which return was impossible.

Likewise, In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C. 2d 53, 94 (I.D. 2022), Chief Administrative Law Judge Wirth found it necessary to look at the alleged violations of the Shipping Act on a container-by-container **and** day-by-day basis and

concluded that “BOE did not establish a violation for all eleven shipments or for all days of detention.” Accordingly, she found violations of 46 U.S.C. 41102(c) only for some shipments for some days. More recently, Chief Judge Wirth stated that an allegation of a violation of 46 U.S.C. 41102(c) concerning multiple shipments made it “likely that [complainant] would need to establish an inability to return each container.” *Access One v. Cosco*, 2024 WL 2976551, at \*6 (Order Denying Partial Motion to Dismiss, June 4, 2024). This is of course the usual method the FMC uses for determining violations which relate to what the respondent did with respect to individual shipments. *See Anderson International Transport – Possible Violations*, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

Proof of a Shipping Act violation has been made even more complicated, and even more fact specific, by the D.C. Circuit’s recent *vacatur* of the FMC decision in *TCW*, cited above. *See Evergreen Shipping Agency (America) v. Federal Maritime Commission*, 106 F.4<sup>th</sup> 1113 (D.C.Cir. 2024). Under that decision, a complainant must prove **not only** that, for a specific shipment, it was unable to pick up or return on a specific day for reasons beyond its control, **but also** that imposition of charges by the ocean common carrier was, in the specific circumstances, contrary to the incentive principle – that is, the charges could not have incentivized faster return of a container. More specifically, the court held that the Commission may not assume that a charge for days when a facility was closed is inconsistent with the incentive principle, as it could well incentivize even earlier return, before the closure.

Claimant’s showing, if one can call it that, does not come near meeting the burden of proof even before the D.C. Circuit decision, much less today. Claimant does not identify the specific shipment(s) as to which it claims as a violation. Nor does it identify the date(s) on which charges

were assessed and as to which violations are claimed. Moreover, it does not present any evidence that, with respect to the unidentified shipment(s) and unidentified date(s) it was unable to return the relevant containers. Rather, it asserts that CULines has such evidence. It must be obvious that an adjudicatory tribunal may not make a decision based on evidence that is not actually presented to the tribunal, but only said to exist somewhere. And just as obviously, Claimant has presented nothing to prove the new elements required by the D.C. Circuit.

Accordingly, even if CULines had been served and even if the Commission had personal jurisdiction over CULines (neither of which is true), it would have to dismiss the claim for failure of proof.

#### **IV. Claimant is not Entitled to Pursue Reparations**

##### **A. Only a “Direct Purchaser” May Seek Reparations**

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only those that suffer "actual injury" *as a result* of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b). Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, as they are here, only the entities that purchased the relevant services *directly* from the ocean common carrier (“direct purchasers” or “first purchasers”) have suffered the "actual injury" that confers standing to seek reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

As the Commission explained in *OCEMA*: “For the past 90 years, the Commission and its predecessor agencies have followed Supreme Court precedent in applying what has become known

as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as the only person ‘directly damaged,’ regardless of what may have occurred later.” 2024 WL 641501, at \*44. Likewise, in *TCW* the Commission stated, citing to *In re Vehicle Carrier Services and Gov’t of Guam v. Sea Land*: “Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain.....Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” 2022 WL 18068977, at \*7 The Commission's application of the "direct purchaser" standing rule has roots over a century old. In *Southern Pacific Co v. Damell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission, the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. This rule was imported into the Shipping Act in 1934. *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934).<sup>9</sup> There, the FMC held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on *Southern Pacific* in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was

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<sup>9</sup> Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges ... is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." To like effect, see, e.g., *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

the person directly damaged by the collection of the illegal rates[.]” The direct purchaser rule applies even where the complainant is an affiliate or parent of the entity that actually paid the carrier.<sup>10</sup>

The Commission’s “direct purchaser” rule is similar to that applied by the United States federal courts with respect to the federal antitrust laws. As the Commission recently stated: “The Commission’s rule is consistent with the Supreme Court’s direct purchaser rule developed in *Illinois Brick v. Illinois*, 421 U.S. 720 (1977).” *TCW*, 2022 WL 18068977, at \*8.

### **B. Claimant is not a “Direct Purchaser”**

Claimant seeks reparations relating to alleged (but unspecified) charges, even though: (1) CULines never provided ocean transportation services to Claimant; (2) Claimant did not have a service contract with CULines; (3) Claimant did not appear as a shipper or consignee on any CULines bill of lading; (4) CULines did not invoice charges to Claimant; and (5) Claimant did not directly pay any charges to CULines, but rather, these charges were paid directly to CULines by New Opportunities Trucking, Inc. These facts, especially Fact 5, demonstrate conclusively that Complainant is not a direct purchaser and may not seek reparations.

The Complaint does not state that Claimant was a direct purchaser; nor does it allege that Claimant paid any of the challenged charges directly to CULines. Indeed, even in its Response to the Motion to Dismiss, Claimant did not suggest that it was a direct purchaser, but instead argued

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<sup>10</sup> See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417,419 n.2 (FMC 1995) (holding that “the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim”); *Procter & Gamble Mfg. Co. v Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of “direct purchaser” shipper was ineligible to file claim for reparations because subsidiary, not , not parent, “paid the applicable charges and suffered any injury that might have resulted therefrom”).

that it was entitled to pursue reparations even though it **was not** the direct purchaser. Claimant's argument in this regard badly misrepresented the Commission cases it discussed.

Complainant first addressed *In Re: [Vehicle] Carrier Services*, 2019 WL 5419475, (FMC Oct. 21, 2019). There, the Commission held that various entities that had filed separate complaints were not direct purchasers because they "did not allege that they directly purchased services from Respondents." *Id.* at \*7. It found other complainants to be direct purchasers not, as Complainant says, because they were ocean transportation intermediaries, but because they alleged that **"they paid Respondents directly for vehicle carrier service."** *Id.* at \* 3 (emphasis added).<sup>11</sup> *In Re: [Vehicle] Carrier Services* thus squarely establishes that, regardless of the status of the complainant as an OTI or otherwise, it **may not** pursue reparations **unless it actually paid the charges directly** to the carrier. Complainant here does not (and could not) allege that Complainant made any payments at all to CUL, much less directly. Indeed, as discussed above, the Master BOL (Respondent's Exhibit A) and the House BOL (Complainant's Exhibit A) prove that Complainant had no relationship to CUL. The House Bill of Lading demonstrates beyond peradventure that Complainant's relationship was only with its chosen NVOCC, while the Master Bill of Lading proves that the shipper and consignee to which CUL provided services were entities **other than** Complainant.<sup>12</sup>

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<sup>11</sup> Complainant mischaracterizes the group that was found to be first purchasers as including manufacturers. It did not; rather, the members were all NVOCCs.

<sup>12</sup> This bill of lading thus proves false Complainant's statement that "Complainant is a Shipper as defined by 46 U.S.C. Section 40102(23), the Consignee on the Master Bill of Lading, and additionally is the OTI for this shipment, and is the party responsible for the disputed charges." Complainant is not a shipper, as it is not designated as either the shipper or the consignee on the Master Bill of Lading (only the House Bill of Lading). Nor could Complainant possibly be the OTI for that shipment, as an NVOCC would have to be shown as shipper on the Master BOL and ocean freight forwarders by definition function as such only in the export trade. Given these relationships, there is no plausible basis for the canard that Complainant was responsible **to CUL** for the disputed charges.

In *Visual Comfort & Co., v. Cosco Shipping Lines Co. Ltd.*, Docket No. 24-01 (ALJ 2024), the Presiding Officer allowed VCC to continue as complainant not because it was a direct purchaser, which it was not, but because VCC had obtained an assignment of claims from the actual direct purchaser, so VCC is now pursuing the **assignor's** claims for reparations, not its own. Claimant does not allege, much less prove, that it has an assignment of claims from the entity that paid CULines directly.

Dated July 31, 2024

Respectfully submitted,

*Rebecca A. Fenneman*

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Attorneys for Respondent

C.U.LINES LIMITED

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### **VERIFICATION**

I declare under penalty of perjury that the facts stated in the foregoing Motion to Dismiss are true and correct as of the date stated below to the best of my knowledge.

For C.U.LINES LIMITED:

By: Ashley Xu

Name: Ashley Xu

Title: Legal Specialist

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## **CERTIFICATE OF SERVICE**

I certify that on this 31st day of July, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

### **REPRESENTATIVE FOR COMPLAINANT:**

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*Rebecca A. Fenneman*

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